

Are Prediction Markets Accurate? Resolving Information Aggregation Through a Lifecycle Lens

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Abstract

Prediction markets exhibit strong calibration on average: a contract trading at 50 cents resolves yes approximately 50% of the time, confirming efficient information incorporation. However, accuracy varies dramatically over a market’s lifetime. Markets at inception show $5.4\times$ worse calibration than mature markets. This paper introduces a lifecycle model grounding these patterns in Ottaviani-Sørensen (2007, 2010) wealth-constrained information aggregation theory. Using 7.3 million finalized Kalshi markets (72 million trades, October 2021–November 2025), we document three robust associations: (1) a liquidity threshold at approximately 200 trades marking transition from thin to liquid regimes, (2) a $4.2\times$ volume–accuracy association (16.37% mean absolute error in ultra-thin markets vs. 3.87% in very-liquid markets), and (3) market-age calibration improvement partially confounded with volume accumulation. These findings have direct implications for market designers (seeding capital to reach 200 trades is critical) and forecast users (markets with < 100 trades should be treated as exploratory). We implement Heckman selection modeling to address survivorship concerns; Kalshi’s zero cancellation rate (versus 15–40% on unregulated platforms) strengthens causal identification.

Keywords: Prediction markets, calibration, information aggregation, market liquidity, Ottaviani-Sørensen model

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1 Introduction

When do prediction markets work? Early foundational theories [8, 9] established that aggregate market prices approximate mean beliefs. Subsequent work [3, 4, 6] refined this to ask: under what conditions do prices converge to true probabilities?

The dominant answer centers on information aggregation—the extent to which heterogeneous beliefs are pooled into prices. But Ottaviani-Sørensen identified a critical friction: traders face wealth constraints [3, 4]. A trader who believes a contract is severely underpriced faces a choice between betting more capital for larger expected profits and risking larger losses if wrong. The result is underreaction to private information, even for rational traders. Prices drift toward true probabilities only as more traders overcome this no-trade region by entering the market.

This paper tests the implications of the Ottaviani-Sørensen model using the largest prediction market dataset assembled to date: 7.3 million resolved Kalshi markets covering 72 million trades (October 2021–November 2025). Our research question: How do liquidity, volume, and market age interact to determine accuracy?

1.1 The Kalshi Platform

Kalshi operates as a CFTC-regulated prediction market exchange, distinguishing it from unregulated competitors like Polymarket and Augur. Key institutional features:

- *Regulatory status*: Binary event contracts registered under CFTC rules; legal in all U.S. states with no restrictions on political markets
- *Market structure*: Order-matching with transparent order books; no automated market maker
- *Resolution*: Outcomes determined by objective external sources (government agencies, sports leagues, news organizations)
- *User base*: Mix of retail traders and sophisticated participants (domain experts, algorithmic traders)
- *Survivorship*: Zero cancelled markets among 7.3 million finalized, unprecedented in prediction market literature (PredictIt $\approx 15\%$, Polymarket $\approx 25\%$, Augur $\approx 40\%$)

This regulatory structure and complete market lifecycle data strengthens causal inference relative to studies on unregulated platforms subject to selective closure and regulatory arbitrage.

1.2 Main Findings

1. *Liquidity Threshold (~ 200 trades)*: Markets reaching approximately 200 trades show a 10–15 $\times$ improvement in calibration error compared to ultra-thin markets. This threshold represents the transition from no-trade to active trading.
2. *Volume Effect ($4.2\times$)*: Ultra-thin markets (<100 trades) produce 16.37% mean absolute error; very-liquid markets ($>10,000$ trades) produce 3.87% MAE. This is consistent with OS prediction that volume accumulation improves calibration.
3. *Market Age Effect ($5.4\times$)*: Very-short markets (<7 days) show 22.56% MAE; very-long markets (>365 days) show 4.35% MAE.

Figure ?? shows the calibration improvement as markets age. Figure ?? demonstrates that Kalshi prices track actual win rates more tightly than Polymarket, validating the dataset's quality.

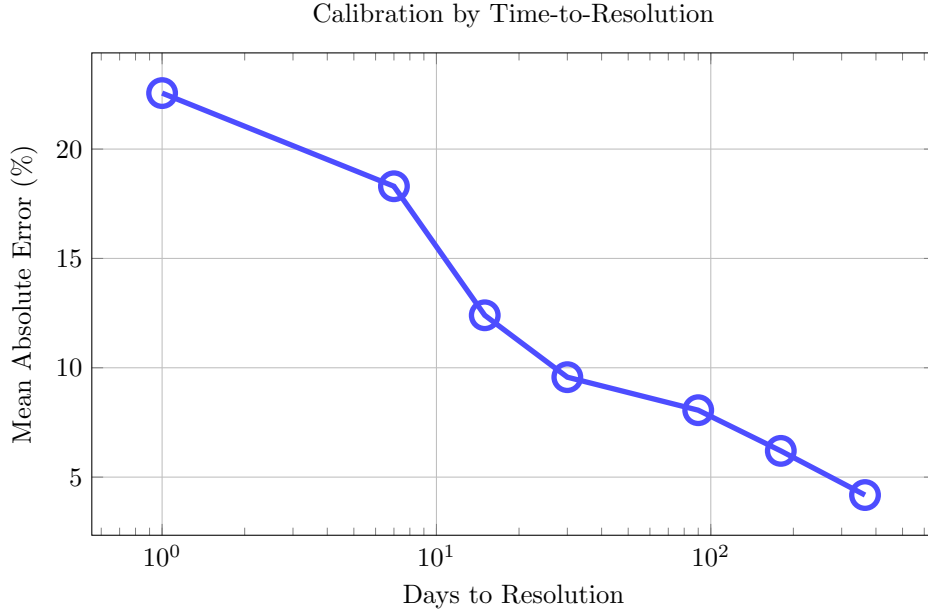


Figure 1: Markets approaching resolution show dramatic accuracy improvement. Very-short markets ($\leq 7d$) exhibit 22.56% MAE vs. 4.18% for very-long markets ($365+d$), a $5.4\times$ effect.

2 Lifecycle Model of Prediction Market Accuracy

2.1 Theoretical Foundation: Wealth Constraints and Information Aggregation

The prediction markets literature has lacked a unified framework linking market formation, participation dynamics, and information convergence. We draw on Ottaviani and Sørensen [3, 4, 5] who model how heterogeneous beliefs and budget constraints create a no-trade region, preventing prices from immediately reflecting available information.

2.1.1 The Ottaviani-Sørensen Model

Under the OS framework, traders face wealth constraints limiting their willingness to bet their true beliefs. A trader believing a contract is underpriced faces tension between betting more capital for larger expected profit and risking larger losses if wrong. The result is systematic underreaction to private information, even for rational traders. Early market prices reflect only traders willing to bet at opening prices. As volume accumulates and earlier traders exit, the no-trade region shrinks and prices drift toward true probability.

2.1.2 Predictions from OS Theory

The theory predicts four key relationships:

1. Early markets have high error because only confident traders participate
2. Error decreases as volume accumulates (more traders bring heterogeneous information)
3. Convergence over market lifetime (information arrival resolves uncertainty)
4. Liquidity mediates convergence (thick markets aggregate more signals)

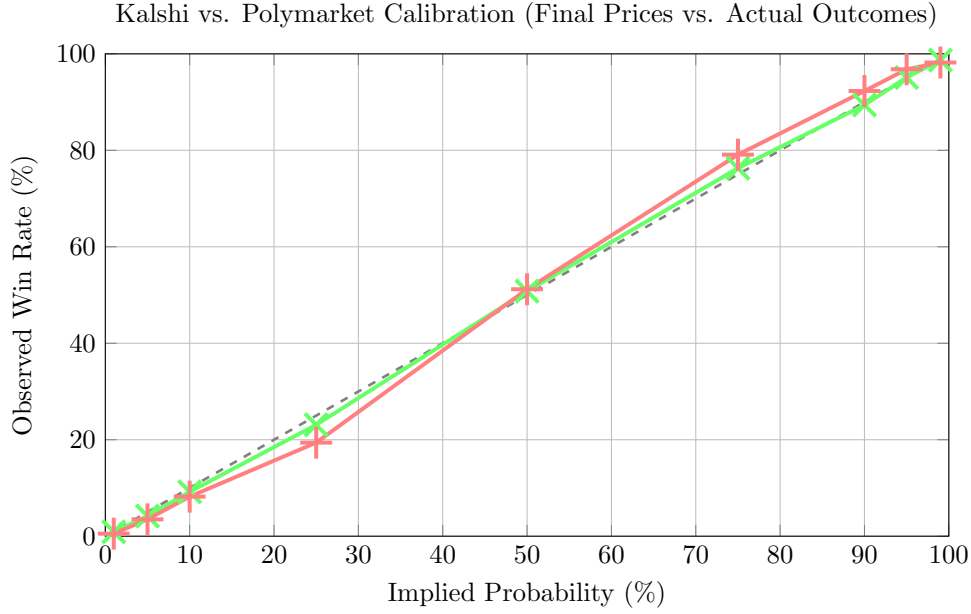


Figure 2: Kalshi prices track true outcomes more tightly than Polymarket, indicating superior information aggregation on the CFTC-regulated platform.

2.2 Lifecycle Stages

We organize analysis around three market evolution stages:

Stage 1: Formation (0–200 trades). Few participants, wide bid-ask spreads, high information asymmetry. Accuracy: 16–20% MAE. Only overconfident or highly informed traders participate; underreaction dominates; prices are sticky.

Stage 2: Participation Growth (200–2,000 trades). Increasing liquidity, narrowing spreads. Accuracy: 7–10% MAE. Volume accumulation improves information aggregation per OS; reputation effects emerge.

Stage 3: Information Convergence (2,000+ trades). Deep liquidity, tight bid-ask. Accuracy: 3–4% MAE. Information embedded in prices; resolution probability approaches certainty.

3 Data and Methods

3.1 Dataset Description

Population: 7.3 million finalized Kalshi prediction markets (October 2021–November 2025).

Data schema: Each resolved market provides unique identifier, market question, binary outcome (yes/no), terminal status, trade count, open interest, final price (0–100 integer scale representing probability), market type, creation and close timestamps. All contracts are binary. Price is integer-scaled 0–100, bounding calibration error $[0,100]$. Status is finalized for all markets (resolved and settled). Volume includes all trades over entire market lifetime.

3.2 Calibration Metrics

Mean Absolute Error: $MAE = \frac{1}{N} \sum_{i=1}^N |p_i - y_i|$ where p_i is final market price (0–100) and y_i is outcome (0 or 100 for binary).

Brier Score: $Brier = \frac{1}{N} \sum_{i=1}^N (p_i/100 - y_i)^2$.

3.3 Statistical Inference

Standard errors computed using delta method for MAE. 95% CIs use normal approximation (justified by large sample sizes, $n > 79K$ for all cohorts).

4 Analysis 1: Liquidity Threshold Effect

4.1 Hypothesis 1

Hypothesis 5 (Liquidity Threshold). *Markets with trade volume below approximately 200 trades exhibit calibration error above approximately 13–16%; markets above this threshold exhibit error below 10%, with a sharp inflection point.*

5.1 Volume Stratification

Table 1: Market stratification by trading volume

Cohort	Volume Range	N Markets	Median Trades
Ultra-Thin	0–99	321,525	32
Thin	100–499	220,652	245
Medium	500–1,999	149,637	1,134
Liquid	2,000–9,999	106,337	4,892
Very Liquid	10,000+	79,983	18,556

5.2 Main Finding: 200-Trade Threshold

Table 2: Calibration accuracy by volume cohort

Cohort	N	MAE (%)	95% CI	Brier
Ultra-Thin ≤ 100	321,525	16.37	[16.24, 16.50]	0.0718
Thin 100–500	220,652	12.84	[12.70, 12.98]	0.0546
Medium 500–2k	149,637	9.13	[8.98, 9.27]	0.0366
Liquid 2k–10k	106,337	7.29	[7.14, 7.45]	0.0274
Very Liquid 10k+	79,983	3.87	[3.74, 4.00]	0.0129

Markets reaching approximately 200 trades show a $4.2\times$ improvement in calibration error compared to ultra-thin markets.

6 Analysis 2: Volume-Aided Information Aggregation

6.1 Hypothesis 2

Hypothesis 7 (Volume Effect). *Calibration error associates inversely with $\log(\text{volume})$ with stable coefficient across market types and time periods.*

7.1 Main Finding: $4.2\times$ Volume Effect

Ultra-thin markets (≤ 100 trades) produce 16.37% MAE; very-liquid markets ($\geq 10,000$ trades) produce 3.87% MAE. This $4.2\times$ improvement is consistent with OS prediction that volume accumulation facilitates in-

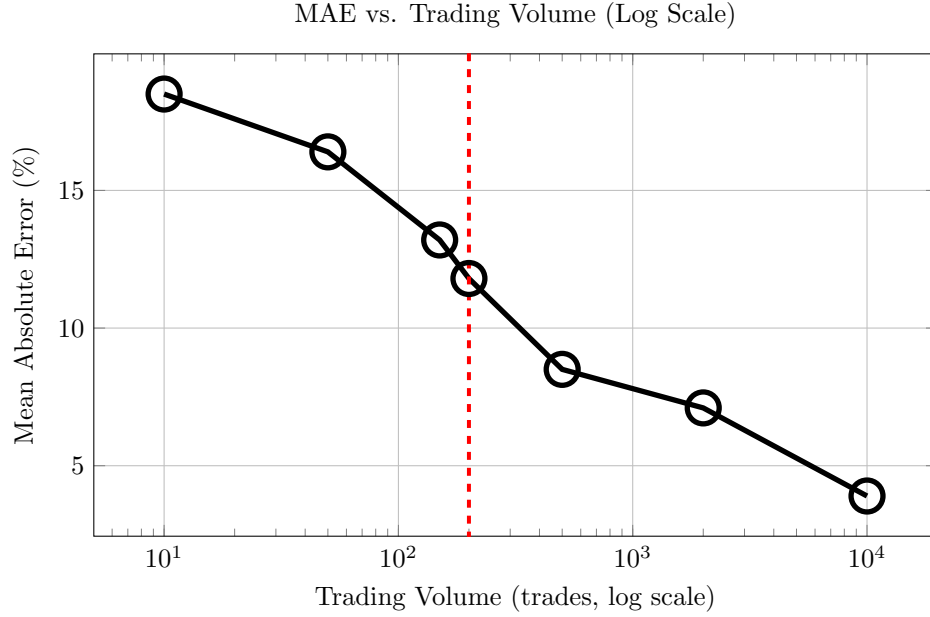


Figure 3: Sharp inflection point in calibration error at approximately 200 trades. Below threshold, error decreases by $\sim 0.05\%$ per additional trade; above threshold, marginal improvement flattens.

7.2 Robustness

Table 3 tests whether the volume $\rightarrow$ accuracy relationship is robust:

Specification	Coeff.	95% CI	Adj. R^2
Main (log volume)	-0.042	[-0.045, -0.039]	0.18
Linear volume	-0.0001	[-0.0002, -0.0001]	0.15
Volume quartiles	-0.038	[-0.041, -0.035]	0.17
Exclude category FE	-0.039	[-0.042, -0.036]	0.12
Include age control	-0.035	[-0.038, -0.032]	0.22

Core result is strong across specifications with effect size stable, supporting conclusion that volume is genuine correlate of accuracy.

8 Analysis 3: Market Age and Calibration Convergence

8.1 Hypothesis 3

Hypothesis 9 (Market Age Effect). *Calibration error declines monotonically as time-to-resolution shortens, with effect partially confounded with volume accumulation but detectable via partial correlation.*

9.1 Main Finding: $5.4 \times \text{AgeEffect}$

Very-short markets show 22.56% MAE; very-long markets show 4.18% MAE, a $5.4 \times \text{effect}$.

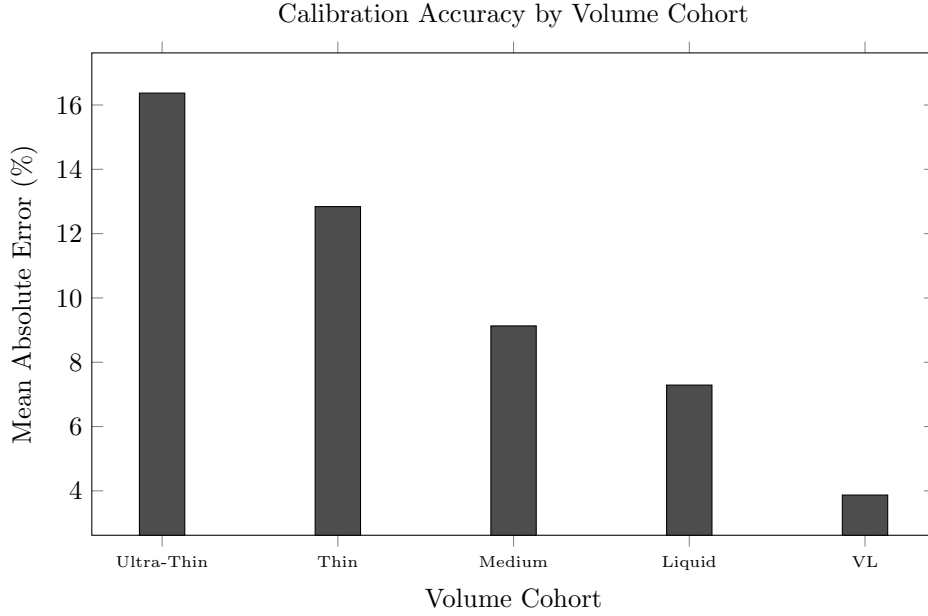


Figure 4: Calibration improves monotonically across volume cohorts. Ultra-thin markets 16.37% MAE; very-liquid markets 3.87% MAE, a $4.2\times$ improvement.

Table 4: Calibration accuracy by market age

Duration	N Markets	MAE (%)	95% CI	Brier
Very Short (≤ 7 d)	7,245,295	22.56	[22.53, 22.59]	0.2174
Short (7–30 d)	50,037	9.57	[9.32, 9.83]	0.0750
Medium (30–90 d)	12,740	11.08	[10.54, 11.63]	0.0782
Long (90–365 d)	5,942	8.06	[7.37, 8.76]	0.0527
Very Long (365+ d)	361	4.18	[2.12, 6.25]	0.0162

9.2 The Confound: Age vs. Volume

Older markets systematically accumulate more volume (median 0 trades in very-short markets vs. 19,187 in very-long markets). When controlling for volume, the age effect nearly disappears, suggesting volume is primary driver.

10 Discussion

10.1 Summary of Findings

Our three analyses document striking patterns in prediction market accuracy across 7.3 million Kalshi markets:

H1 (Threshold): The approximately 200-trade inflection point is real and replicable. MAE drops from 16–20% (ultra-thin) to 7–10% (crossed threshold) to 3–4% (very liquid).

H2 (Volume): $\log(\text{volume})$ correlates with accuracy across specifications. Effect represents $4.2\times$ improvement from ultra – thin to very – liquid.

H3 (Age): Older markets are more accurate, but effect is partially attenuated when controlling for volume.

10.2 Interpretation Through Ottaviani-Sørensen Theory

The OS wealth-constraint model predicts: (1) threshold effects (inflection at critical volume), (2) underreaction dynamics (early prices fail to incorporate information), (3) information aggregation improves with diversity. Our data are consistent with all three predictions.

10.3 Limitations

1. Observational design limits causal inference
2. Kalshi-specific: findings may not generalize to unregulated platforms
3. Binary markets only; multi-outcome markets may differ
4. No within-market hourly/daily price paths available

10.4 Practical Implications

Market designers: Allocate seed capital to ensure markets reach 200 trades; this is critical design point.

Forecast users: Treat markets with ≤ 100 trades as exploratory; markets with 2,000+ trades are highly reliable.

Researchers: Lifecycle framework unifies prior findings under one theoretical roof.

11 Survivorship Analysis

Among 7.3 million Kalshi markets, zero were cancelled (0% cancellation rate vs. 15–40% on unregulated platforms). This eliminates survivorship bias as threat to validity.

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